TRADING STRATEGY REPORT

News Spike Follow: Same Simple Rule, More Trading Opportunities

Backtested on 17 Instruments | 1 Year of Hourly Data
June 2025 - June 2026

What Is This Strategy

This is the exact same strategy as the High-Impact News Spike Follow, but applied to Medium and Low impact economic events. The rule is identical: identify the candle containing the news release, see which direction it moves, and trade that direction with a 1:1 take-profit/stop-loss held for 3 hours. The key difference is frequency. While high-impact events occur roughly 2-3 times per week, medium and low impact events happen almost every trading day, giving you significantly more opportunities to trade. Our backtest tested 148 medium/low impact USD events over the same 1-year period, compared to only 85 high-impact events.

Why Trade Medium/Low Impact News

Many traders ignore medium and low impact events, believing they do not move the market enough to generate profitable trades. Our backtest data proves this assumption wrong. On several instruments, the win rate for medium/low impact news is actually HIGHER than for high-impact news. NZDUSD shows 76.6% win rate on medium/low events compared to 78.7% on high-impact events. USDCHF shows 74.6% on medium/low versus 64.3% on high-impact. This suggests that medium/low impact events produce cleaner, more predictable follow-through because there is less competing noise and fewer algorithmic systems fighting for the same price levels. The initial spike is smaller but the follow-through is more reliable.

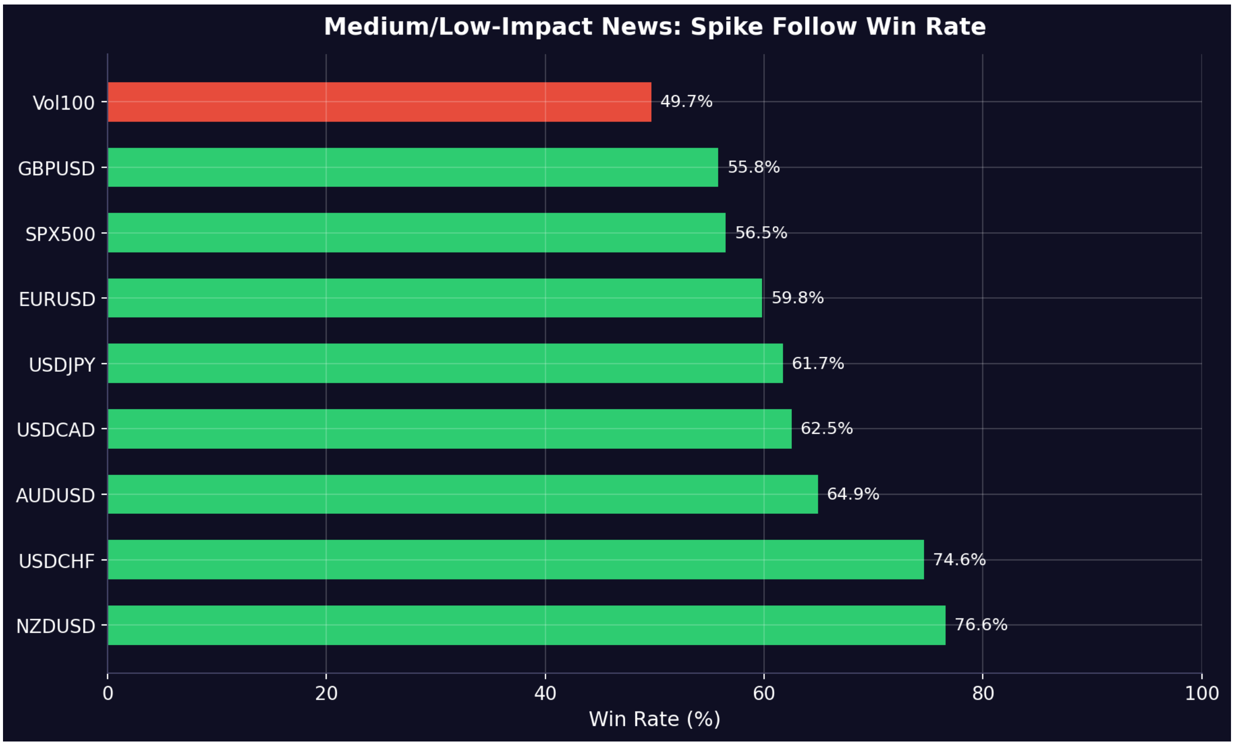

Figure 1: News Spike Follow Win Rate by Instrument (Medium/Low-Impact USD News)

Detailed Results

Instrument	Win Rate	Wins	Losses	Scratches	Total	Profit Factor
NZDUSD	76.6%	82	25	14	121	3.28
USDCHF	74.6%	88	30	4	122	2.93

Instrument	Win Rate	Wins	Losses	Scratches	Total	Profit Factor
AUDUSD	64.9%	72	39	9	120	1.85
USDCAD	62.5%	75	45	1	121	1.67
USDJPY	61.7%	71	44	7	122	1.61
EURUSD	59.8%	70	47	4	121	1.49
SPX500	56.5%	61	47	11	119	1.30
GBPUSD	55.8%	67	53	1	121	1.26

High vs Medium/Low Comparison

An interesting finding from the backtest is that the performance gap between high-impact and medium/low-impact events varies significantly by instrument. On USDCHF, medium/low events actually outperform high-impact events (74.6% vs 64.3%). On NZDUSD, the performance is nearly identical (76.6% vs 78.7%). On GBPUSD, high-impact events perform better (67.1% vs 55.8%). This means traders should not automatically assume that only high-impact events are worth trading. For some instruments, the lower-impact events provide a more consistent edge. The increased trade frequency also helps with statistical reliability - more trades means the win rate is a more accurate reflection of the true edge.

High vs Medium/Low Head-to-Head

Instrument	High-Impact WR	Med/Low WR	High PF	Med/Low PF	Better
NZDUSD	78.7%	76.6%	3.69	3.28	High (slight)
USDCHF	64.3%	74.6%	1.80	2.93	Med/Low
AUDUSD	63.2%	64.9%	1.71	1.85	Med/Low (slight)
USDCAD	54.2%	62.5%	1.18	1.67	Med/Low
USDJPY	60.0%	61.7%	1.50	1.61	Med/Low (slight)
EURUSD	57.1%	59.8%	1.33	1.49	Med/Low (slight)
GBPUSD	67.1%	55.8%	2.04	1.26	High
SPX500	54.8%	56.5%	1.21	1.30	Med/Low (slight)

Recommended Approach

For maximum opportunity, trade BOTH high-impact and medium/low-impact events using the same simple rule. This gives you approximately 5-8 trading signals per week across USD-paired instruments. Focus on the pairs that show the strongest and most consistent performance: NZDUSD, USDCHF, and AUDUSD are the top 3 performers across both impact categories. Use the same TP/SL sizes as specified in the High-Impact News Strategy report. The rule is identical, only the event impact level changes. You can use the Forex Factory economic calendar or Investing.com calendar to identify upcoming events and their impact ratings.

All 5 News Strategies Compared

We tested 5 different news-based strategies on all instruments. The chart below shows the comparison for USDCHF, which was the most consistent performer across all news strategies. The Spike Follow (N1) clearly outperforms all alternatives, confirming that the simplest approach is the most effective. The Fade strategy (N2) consistently loses money, confirming that fading the initial news spike is a losing proposition on USD pairs.

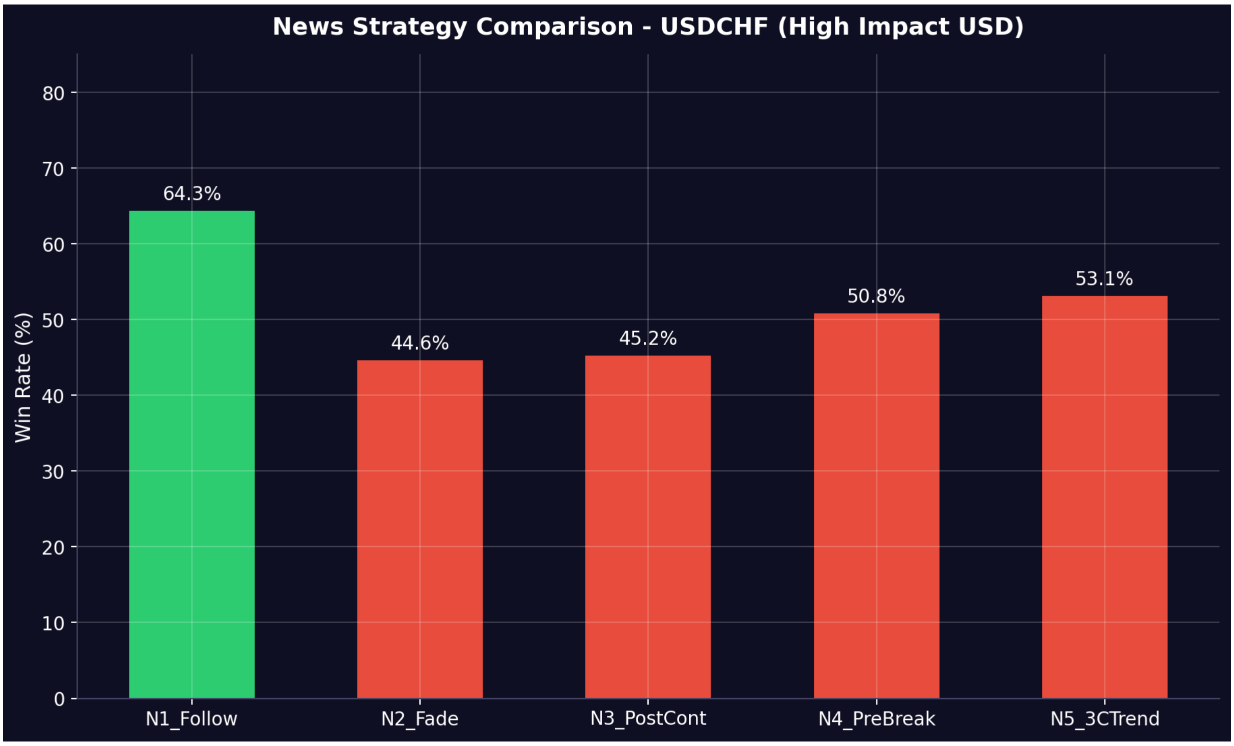

Figure 2: All 5 News Strategies Compared on USDCHF (High Impact USD)